A European Digital Services Tax: The Case for an EU Instrument

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Profit shifting and tax optimisation specific to the digital sector enable digital companies to face a lower effective corporate income tax rate than companies in other sectors. In the EU, this gap is substantial and raises questions about the fairness of our tax system. The uncollected tax revenues also represent a significant amount of money that escapes Member States' budgets. Taxing those profits at source requires international consensus, but six years of OECD negotiations have failed to produce one. Several EU member states have turned instead to taxing digital revenues, a second-best instrument that is nonetheless administrable and politically tractable.

This report makes the case for replacing that fragmented landscape with a single EU-level instrument structured as an Own Resource: a 3% levy on digital advertising, intermediation, and user data revenues. The instrument acts as a proxy for the corporate income tax revenues that are not collected from digital companies, yielding approximately EUR 6 bn annually by 2028. In the same vein as the national Digital Services Taxes that it will replace, it is a temporary measure enacted to foster the international process towards profit taxation. A resolution on profit taxation that would ensure Member States receive their fair share of corporate income tax revenues, exceeding the DST revenues foregone. It also mitigates individual Member States' exposure to US trade pressure by leveraging a single Union-level stance.

The report also proposes a Pigouvian levy targeted at digital advertising to contribute to the repayment of NextGenerationEU, following a proposal by **?**. This instrument is designed to steer economic activity and technological development away from an attention-capture business model that generates documented externalities, including harm to individual mental health and threats to democratic discourse and excess advertising due to zero-sum competition between advertisers, We propose an initial tax rate of 15%, which would raise EUR 9 to 10 bn annually by 2028, as a first step towards the 50% tax rate proposed by Acemoglu and Johnson.

1 The problem: the corporate income tax was not built for the digital economy

The digitalisation of the economy challenges our existing tax system. The system is based on the principle that companies are taxable where they maintain a sufficiently substantial physical presence. That doctrine was designed in the 1920s for an industrial economy and has not been revised in any structural sense since. Technology companies can generate billions in advertising revenues, intermediation fees, and user data monetisation from users in a country and shift profits via royalty payments and intercompany transfer prices to entities holding intellectual property in another country. Not only does this amount to a transfer of corporate income tax (CIT) revenues away from the places where value is created, but at a global scale, the revenue of CIT is lowered. The European Commission estimated in its 2018 impact assessment that digital companies operating in the EU face an effective corporate income tax rate of 9.5%, against 23.2% for traditional companies of comparable scale (**?**).[1]

These concerns led to growing calls for a reform of the international tax system. This led the G20 to mandate the OECD to develop solutions to address base erosion and profit shifting (BEPS). Following the completion of the OECD BEPS Project, negotiations continued within the OECD Inclusive Framework, which brings together more than 140 jurisdictions to further develop international tax rules. These negotiations culminated in the two-pillar solution. Pillar One aims, in particular, to reallocate taxing rights to market jurisdictions. It applies to the largest multinational enterprises, with global revenues exceeding USD 20 billion and profitability above 10%. Under its rules, 25% of residual profits (profits exceeding the 10% profitability threshold) are allocated to market jurisdictions in proportion to the revenues generated in each jurisdiction.

To establish the legal framework for Pillar One, the Multilateral Convention was designed to modify and, where necessary, supersede the relevant provisions of bilateral tax treaties. The text was finalised in October 2023, but the United States withdrew from the negotiations in January 2025, preventing the convention from being opened for signature. The co-chair statement of the Inclusive Framework acknowledged that the MLC text itself is stable but that unresolved issues prevent conclusion. No timeline exists.

A parallel process is under way at the United Nations, initiated by a large group of developing countries considering that the OECD framework did not adequately represent their interests. The UN General Assembly adopted the Terms of Reference for a Framework Convention on International Tax Cooperation (UNFCITC) in December 2023, opening an intergovernmental negotiation expected to run until 2027. The convention's ambition goes well beyond digital taxation: its goal is to establish a new architecture for the global distribution of taxing rights anchored on the source-based taxation principle. Protocol I of the convention addresses the taxation of income from cross-border services. Digitalised services are included, with a broader scope than that of the European DSTs already implemented and our proposal. As of mid-2026, the UN Framework Convention on International Tax Cooperation and its two first protocols on the taxation of income from cross-border services and on the prevention and resolution of tax disputes have been drafted and are being negotiated.

European DSTs emerged as a response to the slow pace of OECD negotiations. In March 2018,

[1] Figures based on modelled effective average tax rates (ZEW/PwC 2016 methodology). Pillar Two (Directive 2022/2523/EU, FY2024) establishes a 15 % floor but does not close the structural gap; no updated EU-wide estimate has been published.

the European Commission proposed a Digital Services Tax (DST) as a temporary measure pending an international agreement. Revenues from online advertising, digital intermediation services, and the sale of user-generated data would have been taxed at a 3 % rate for estimated annual revenues of EUR 4.7 to 6 billion for EU-28.

Under Article 113 TFEU, the proposal required unanimity. Ireland, Malta, and Luxembourg objected on grounds of corporate tax model compatibility, a structural opposition that reflects a preference for residence-based nexus and a concern that any market- or user-based allocation principle, once normalised for DST purposes, would migrate to the corporate income tax base on which its fiscal model depends. All three host major technology companies and preferred a multilateral OECD solution that would be less disruptive to their existing tax models. Denmark, Sweden, and Finland issued a joint statement arguing that any reallocation of taxing rights to user location should not be decided at EU level alone (?). Even a narrowed version limited to online advertising revenues, circulated by the Romanian Council Presidency in early 2019, failed to overcome these objections. The Council formally discontinued work on those proposals in March 2019. The episode nonetheless prompted a wave of unilateral national DSTs, and their proliferation aims to increase pressure to conclude Pillar One. Participating jurisdictions of Pillar One agreed to withdraw their DSTs upon implementation of the new agreement. The political standstill on new DSTs, maintained by OECD members as a confidence-building measure during the Pillar One negotiations, expired without renewal at the end of 2023. Countries are therefore no longer under a formal commitment to refrain from introducing or expanding DSTs. As those incentives weakened, the United States continued to pressure trading partners to abandon DSTs through the threat of trade and economic measures. Section 301 of the US Trade Act of 1974 authorises the executive to impose retaliatory tariffs on countries applying measures considered unfair to US commerce. In 2025, the proposed Section 899 of the One Big Beautiful Bill Act would have imposed higher withholding tax rates on payments to residents of countries imposing such taxes. Although removed from the final legislation before enactment, the threat alone was sufficient to secure diplomatic concessions. Throughout this period active investigations against France, Austria, Italy, and Spain run under Section 301.

The 2018 proposal was not pursued in the hope that the outstanding issues surrounding the taxation and allocation of profits would be resolved, particularly through the BEPS process. Pillar One ultimately failed to materialise, while national DSTs were introduced as a means of keeping international discussions alive and providing a temporary, albeit imperfect, response to the taxation of digital profits.

Much has changed since 2018. The digital sector has continued to expand rapidly, while the prospect of reaching an international agreement on the taxation of digital businesses appears increasingly remote. Section 301 actions, suspended in 2021 during OECD negotiations, were reopened by presidential memorandum in February 2025, leaving the introduction of retaliatory actions pending. Developing a European DST would therefore serve a dual purpose: maintaining pressure for the resumption of international negotiations towards a multilateral solution to corporate taxation, with the combined weight of 27 Member States, while providing collective protection against the risk of US retaliation.

The situation has fundamentally changed since 2018, and the European approach should reflect this.

The debate on digital taxation is embedded in a complex international framework, and a European DST is designed to address concerns that extend well beyond Europe's borders. It will change the relationship with major trading partners, and pressure should be expected. But the instrument also pushes for more global cooperation: by acting as a single bloc, the EU can demand a level of international alignment that no member state could claim alone.

2 National digital services taxes: the current landscape in the European Union

The European Council's failure to reach unanimity on the 2018 proposal by the Commission left member states with a choice: wait for an international agreement that remained uncertain, or act unilaterally. Several chose to act. France enacted the *taxe sur les services numériques* in 2019, triggering a wave of similar instruments across Europe. Seven years later, six jurisdictions have enacted DSTs, each with its own rate, scope, and threshold structure (Hungary's rate has been suspended at 0% since April 2026).

France, Italy, and Spain drew directly on the Commission's template, adopting the same three-category structure (advertising, intermediation, and user data) at a 3 per cent rate; France subsumes user data transmission within its advertising category rather than taxing it separately. Austria chose a narrower instrument: online advertising only, at 5 per cent. Hungary stands apart: its advertising tax dates to 2014, predates the DST wave, and originated as a progressive media levy with motivations that were as much political as fiscal. In parallel, the United Kingdom, acting outside the EU framework after Brexit, introduced a DST at 2 per cent in 2020 on advertising and intermediation revenues.

Country	**Rate**	**Scope**				**Threshold (EUR M)**		**Revenue**
		Ad.	**Int.**	**Data**	**Stream.**	**Global**	**Domestic**	**(EUR M)**
France (TSN)	6%	✓	✓	✓		750	25	756 (2024)
Italy (ISD)	3%	✓	✓	✓		750	—	637 (2025)
Spain (IDSD)	3%	✓	✓	✓		750	3	375 (2024)
Austria	5%	✓				750	25	124 (2024)
Hungary	7.5%[a]	✓				—	100	—
UK (DST)	2%	✓	✓			GBP m 500	GBP m 25	GBP m 944 (2026)

Sources: **?????**. [a] statutory 7.5%; suspended to 0%, April 2026.

Table 1: Digital services taxes in force, mid-2026

National DST revenues have proved stable and growing in the European Union. The UK's *Digital Services Tax* revenues rose from GBP 358 million in 2020–21 to GBP 944 million in 2025–26, a five-year compound annual growth rate (CAGR) of 21.4%, driven purely by the expansion of the digital economy as the tax rate has not changed since implementation. Italy's ISD grew from EUR 298 million (2022) to EUR 637 million (2025), a 113% increase over three years, accelerated by the January 2025 removal of its domestic revenue threshold. France doubled its rate from 3% to 6% in the 2026 finance law (**??**), motivated by fiscal need and mounting frustration with Pillar 1's collapse. Those cases show that DST receipts draw on two sources: the structural expansion of the digital economy, and changes to the instruments themselves. Such changes refelct a political position: a country raises its DST to build leverage and force progress toward an international agreement on the taxation of digital profits; it reduces or withdraws when bilateral pressure makes the instrument too costly to hold, or when a deal becomes mature enough to justify stepping back.

The same logic operates beyond Europe but in an opposite direction. Turkey reduced its rate from 7.5% to 5% in January 2026 and has scheduled a further cut to 2.5% from 2027 (**?**), using the rate trajectory as a diplomatic signal of readiness to step back. Canada implemented a 3% DST in June 2024 and rescinded it twelve months later under direct bilateral pressure from the United States (**?**). India abolished both of its digital levies in 2024 and 2025 (**??**), as a unilateral bet that OECD implementation would follow.

National experience shows that the instrument is administratively tractable: applied to a small number of large multinationals on a gross revenue base, it has proved collectible in practice, and high thresholds have consistently excluded SMEs from its scope.

The European Union framework is fragmented and evolving. The majority of EU member states levy no digital services tax and extract nothing from digital revenues generated in their territories, even as those revenues grow. Among those that do, each instrument sets its own thresholds, tax base, rate, and enforcement mechanism. Rates vary and definitions of "digital advertising" or "intermediation service" may differ across jurisdictions. For example, the same app distribution platform is a taxable intermediary in France and a non-taxable digital content supplier in Italy and Spain. The resulting divergence creates legal uncertainty and compliance costs for multinationals operating across member states. It also creates structuring incentives to escape those national instruments. Finally, individual member states implementing a DST have faced bilateral pressure without the collective leverage of the Union.

Beyond the instruments in force, Belgium's coalition government has committed to a 3% DST by 2027, contingent on the absence of EU or OECD consensus (**?**); Poland has a 3% proposal at legislative review; Slovakia published a formal proposal in August 2025; the Czech Republic has a 7% proposal stalled in parliament. EU member states demonstrate political will to tax digital services. The question is whether they do it in a fragmented national patchwork or through a coordinated EU instrument.

3 A European digital services tax

The proposed instrument is structured as an EU own resource under Article 311 TFEU: revenues feed the EU budget directly rather than national treasuries, and national tax administrations act as collection agents on the Union's behalf. This departs from the 2018 Commission proposal (**?**), which allocated revenues to Member States rather than to the Union budget. Three categories of digital services are covered: targeted advertising, intermediation, and the transmission of user data. A flat rate of 3 per cent applies to gross revenues before any deduction for costs, intragroup charges, or IP royalties. These three categories represent the sectors in which users are the source of value creation. Advertising platforms sell attention; marketplaces sell access to a buyer and seller base; data services sell records of user behaviour.

Targeted advertising. Advertising is targeted if the selection of which ad appears to a given user relies on data collected from that user's prior activity. The charge falls on the entity providing the placement service: where an intermediary places ads on third-party publisher interfaces, the intermediary's revenues are taxable and the publisher incurs no second charge on the same amount.

Intermediation services. The taxable service is the operation of a multi-sided digital interface through which users locate and interact with other users. The scope consists of matching platforms and marketplace platforms. The taxable revenues are fees charged for access, promoted visibility or data-based matching. For transactions, only the service fee is charged, not the value of that transaction.

User data transmission. The taxable service is the sale of data collected from users' activity on digital interfaces to a third party. The perimeter is narrow: only data collected from users' digital activity, transmitted to a third party, and in exchange for payment. Data used internally, shared without charge, or not originating from users' activity are all outside scope. In practice this is the smallest of the three categories. The dominant platforms primarily monetise behavioural data through advertising, already covered by the first category; an independent charge arises mainly for data broker activity where the aggregator and the advertising buyer are separate entities.

Nexus. Taxing rights attach to the EU for revenues derived from users located within the EU at the moment of the taxable interaction, identified by the IP address of the device. No permanent establishment or physical presence in any member state is required. The user-location principle has not been successfully challenged before any EU member state court since national DSTs entered into force in 2019, establishing a robust precedent for adoption at EU level.

Thresholds. The tax applies only to groups exceeding EUR 750 million in total worldwide revenues from all sources and EUR 50 million in DST taxable revenues within the EU. Both tests apply at consolidated group level, preventing threshold avoidance through corporate fragmentation.

Sunset clause. The instrument includes an automatic repeal on the date of entry into force of any international agreement on digital economy taxation, making it explicitly transitional.

4 Revenue estimates

Platforms only declare user-location revenues in countries already implementing DSTs: France, Italy, Spain, and Austria. Otherwise, revenues from digital services are booked by legal entity, typically in the jurisdiction where the operating subsidiary is registered, rather than where users are located. Pending the introduction of a European DST and the collection of such data, we estimate total revenues and allocate them across Member States using three publicly available proxies: IAB Europe national advertising market data, observed DST returns from the four countries already in force, and Eurostat demand-side surveys.[2]

Bottom-up calibration from DST returns We give an estimation based on IAB Europe's 2024 national data (**?**) together with revenues from already implemented DSTs, to provide a bottom-up estimate of the revenues that could be generated by an EU-wide DST. The EU-wide three-category

[2]Two new disclosure regimes improve the outlook. The EU Public CbCR Directive (2021/2101/EU) requires groups with revenues above EUR 750 million to publish revenues by EU member state from FY2024 onward. The GloBE Information Return, filed for the same threshold from 2026, contains jurisdiction-level revenue data for all in-scope groups, though it remains confidential between administrations. Together, these regimes will make a bottom-up estimation of M tractable for future work.

revenue base M is distributed among countries according to their respective shares of the European digital advertising market. We assume that intermediation fees and user data transmission revenues are proportional to advertising ones. Denoting A_i what advertisers spent in a market i:

$$R_i^{bu} = \tau \cdot \bar{k} \cdot A_i \tag{1}$$

France and Spain both operated a three-category DST at 3% through end-2025; their confirmed 2024 revenues at that rate are the natural anchors for $\bar{k}$.[3] With A_{FR} = EUR 11,209 M and A_{ES} = EUR 5,501 M:

$$k_i = \frac{R_i^{\mathrm{obs}}/\tau_i}{A_i}, \qquad k_{\mathrm{FR}} = 2.25, \qquad k_{\mathrm{ES}} = 2.27 \tag{2}$$

The mean $\bar{k} = 2.26$ allows us to estimate revenues for every Member State and gives an aggregate of EUR 4,322 M for the whole EU-27.

The **?** estimated that a 3 % levy on in-scope revenues from online advertising and intermediary platforms would yield EUR 4.7 bn for EU-28; the United Kingdom accounted for approximately 30 % of that figure (**?**, Table 11, footnote 71), giving implied EU-27 revenues of EUR 3.3 bn. Scaled to 2024 using IAB Europe total European advertising market data with market growth from approximately EUR 61 bn in 2019 to EUR 87 bn in 2022 and to EUR 119 bn by 2024. Applied to the EU-27 base of EUR 3.3 bn, it gives a DST revenue actualized for 2024 of EUR 6.4 bn (Table **??**).

The EU Commission's estimation is derived from Statista sector series. For advertising, this series tracks revenues earned by platforms from advertisers. For intermediation, the computation is based on the total value of transactions processed through platforms rather than the charged commission. The Commission's EUR 4.7 bn (EU-28) breaks down as EUR 0.8 bn for advertising (17 %), EUR 3.9 bn for intermediation (83 %) and user data transmission is thought to raise negligible amounts. Our method in contrast gives by construction a share of $1/k = 44\%$ for advertising. Applying the Commission top-down shares to France (approximately 10 % of EU-28 advertising, 14 % of EU-28 e-commerce) and Spain (9 % and 6 %) and scaling to 2024 implies revenues of EUR 1.2 bn and EUR 0.59 bn respectively. Actual 2024 DST revenues of EUR 0.756 bn for France and EUR 0.375 bn for Spain describe a lower return than the estimated ones from the Commission's document. Although our estimates yield lower revenues than those projected by the Commission, we anchor our estimates in the actual revenues generated by enacted DSTs, providing a more credible assessment of the revenue potential.

The principal weakness remains that market data record where revenues are invoiced rather than where users are located, overestimating revenues from countries with large subsidiary operations (Ireland, the Netherlands, Sweden) and understating them in large consumer markets such as Poland and Romania. Another drawback is that our method does not account for different mixes in the digital economy of member states.

Consumer-location reallocation We propose here to reallocate by Member States with demand-side weights using each country's share of online buyers in the EU-27 found in Eurostat's survey (**?**) (individuals aged 16–74 ordering online in the last three months, multiplied by national population). It uses the same EU-27 aggregate as the bottom-up estimation but applies a different allocation key. The key matches the intermediation nexus directly; for the advertising category, the correct variable would be ad impressions by device location, which is not publicly available. Online buyers are the best available public proxy for the intermediation category; for the advertising component,

[3] France doubled its rate to 6% in the 2026 finance law; the calibration uses 2024 data collected at 3%.

the relevant dimension is ad impressions by user location, which the purchasing-activity variable does not capture.

Table ?? presents member-state estimates under both methods. The consumer-location reallocation applies a different allocation key to the same bottom-up aggregate; by construction, both methods yield an EU-27 total of EUR 4.3 bn. Their discrepancy at country level reflects the gap between booking geography and user geography, not a difference in the estimated total.[4]

Member state	**Bottom-up**	**Consumer-location reallocation**	**Confirmed**	**Revenue estimates**
	calibr./2024	*Eurostat/2024*	*admin.*	*proj.*
Austria	148	105	124[a]	143
Belgium	82	148	—	201
Bulgaria	8	28	—	38
Croatia	12	34	—	46
Cyprus	—[b]	12	—	16
Czech Republic	118	131	—	178
Denmark	116	79	—	108
Estonia	10	17	—	23
Finland	60	71	—	97
France	760[c]	797	756	1,084
Germany	1,213	719	—	978
Greece	25	67	—	91
Hungary	51	103	—	140
Ireland	72	71	—	97
Italy	400	343	637[d]	467
Latvia	9	20	—	27
Lithuania	11	30	—	41
Luxembourg	—[b]	7	—	10
Malta	—[b]	5	—	7
Netherlands	293	245	—	333
Poland	192	365	—	497
Portugal	38	101	—	137
Romania	13	99	—	135
Slovakia	17	56	—	76
Slovenia	6	24	—	33
Spain	373[c]	505	375	687
Sweden	270	140	—	190
EU-27 total	**4,322**	**4,322**	**1,891**	**5,880**

(continued on next page)

[4]Public country-by-country reports under Directive 2021/2101/EU will allow a direct platform-level cross-check once FY2025 filings are published; the first mandatory disclosures for calendar-year companies are due by end of 2026.

(continued)

Member state	Bottom-up	Consumer-location reallocation	Confirmed	Revenue estimates

[a] Austria scope incompatible (advertising-only at 5%). [b] Cyprus, Luxembourg, and Malta are only aggregated in the IAB Europe AdEx Benchmark. They collectively account for EUR 24 M in the EU-27 total. [c] France and Spain are the anchors for this estimation method. [d] Italy 2025 exceeds the estimates due to threshold removal.

Table 2: Revenues estimates for a three-category DST by method and by member state (EUR m, 3% rate)

Austria (5% advertising-only, EUR 124 M) gives $k_{\mathrm{AT}} = 1.13$, consistent with a single-category instrument, the residual gap above unity reflecting the broader legal definition of taxable advertising revenues relative to IAB survey coverage; Italy's 2025 figure implies $k_{\mathrm{IT}} = 3.30$, inflated by the January 2025 threshold removal. France and Spain remain the preferred anchors. Three countries preparing DST legislation have published official revenue projections. The Czech Ministry of Finance projected CZK 5 bn per year at steady state under a 7 % rate (?); adjusted to 3 %, that gives EUR 86 M, against our estimate of EUR 118 M for 2024. Poland's government-commissioned study projected PLN 1.7 bn per year at 3 % (?), revised to PLN 2.5 bn in the July 2026 regulatory impact assessment (?), or EUR 400 to 590 M against our estimate of EUR 192 M. Slovakia's government cited EUR 30 to 100 M per year (?) against our estimate of EUR 17 M. The Czech figure is close to our estimate once updated for five years of digital market growth since the 2019 projection. The Polish and Slovak projections exceed ours substantially; both official estimates cover a broader revenue base than the advertising market alone, which accounts for the discrepancy.

The last column projects each member-state estimate to the first full year of MFF 2028–2034 operation. The projection applies a baseline CAGR of 8%/yr to the base collected in the second colomn. This rate is derived from Statista Market Insights forecasts for EU digital services markets (?), against a historical 2022–2024 rate of approximately 17%/yr that reflected post-Covid recovery. At this rate the EU-27 total reaches EUR 5.9 bn in 2028. The two allocation methods diverge at country level. The bottom-up estimate weights by IAB national advertising market shares: Germany, with the largest digital advertising industry in the EU, ranks first. The consumer-location reallocation weights by Eurostat online buyer counts: France, with the largest online buyer population, ranks first. Germany remains first under the consumer-location reallocation but falls from EUR 1,213 M to EUR 715 M; its large advertising market reflects B2B and industrial spend with a proportionally smaller consumer buyer base. Poland and Romania rise substantially under the consumer-location reallocation; Sweden and Denmark fall.

Both methods share the same EU-27 aggregate by construction (EUR 4.3 bn); only the distribution across member states differs.

Both methods are proxies for the taxable base. The bottom-up estimate follows IAB advertising market shares, a variable that reflects advertiser demand and correlates with user location but is also influenced by the size of each country's corporate advertising sector; Germany illustrates this, with a large advertising market that reflects B2B and industrial advertising intensity, not simply user volume. The consumer-location reallocation follows Eurostat online buyer counts, a consumer-side variable that more directly measures where users transact across the three taxable categories. For an instrument whose nexus is user location, the consumer-side proxy is the more internally consistent choice. Neither is a direct measure of taxable revenues; the consumer-location reallocation is the best available public approximation.

5 Effects and leverage of an European DST

5.1 Practical viability

Two questions are central to the practical viability of a DST: who ultimately bears the tax, and whether firms can reduce their exposure by restructuring. The first determines how the tax affects the wider economy, while the second determines whether firms can avoid or significantly reduce the intended tax burden. Six years of national experience alongside recent academic work on platform taxation shed light on both.

Langenmayr and Muddasani (?), using Amazon's Fulfilled by Amazon fee schedules across France, Spain, Italy, and the United Kingdom following each DST introduction show that platforms do not necessarily absorb the tax. In France, Spain and the UK, 80 to more than 100% was passed on in fee increases to third-party sellers. Italy is the exception: fee increases there were small and not statistically significant. In contrast, Google applied a 2.5 per cent operational surcharge to advertising services (?) following Italy's DST introduction. The divergence across countries and companies suggests that pass-through is a commercial decision rather than a structural one.

For the online advertising market specifically, Lassmann et al. (?) provide the closest empirical test. They use Facebook's 2016 shift from local-entity to Ireland-headquartered revenue booking as a quasi-natural experiment: where effective corporate tax rates rose as a result, ad prices rose and advertisers bore the cost, consistent with a model in which platforms maintain their pre-tax margin and pass tax costs through to advertisers.

Experience shows that the tax is not borne by platforms. It is passed to the businesses that depend on them, marketplace sellers and advertisers, many of them SMEs, and from there in part to end consumers. This is a genuine design constraint for a gross-revenue levy. It characterises every national DST already in force and the same is expected of the proposed EU instrument.

Restructuring is limited in scope. Firms can reclassify revenue streams or adjust intragroup allocations, but they cannot move users to another country. National experience confirms this: revenues in all four countries grew consistently after introduction, and digital advertising spend grew at rates comparable to non-DST markets (?). On revenue stability, a tax on revenues is less sensitive to the business cycle than a tax on profits. Corporate income tax receipts can fall sharply in a downturn; digital activity and user engagement tend to be more resilient. The consistency of DST receipts in France, Italy, Spain, and Austria since introduction supports this (?).

5.2 Fiscal contribution

The EUR 5.8 bn aggregate carries different fiscal significance depending on whether a member state already operates a national DST. For the majority that do not, the levy generates genuinely new public revenue from a sector that currently contributes far less in corporate income tax than other sectors. Most Member States would for the first time see revenues from digital services in its territory contribute to a common EU instrument.

For the four member states already levying a national DST, the EU instrument does not produce additional revenue at the consolidated public-sector level: it replaces existing national receipts with an EU-level equivalent. Seven national regimes currently coexist, each with its own rate, scope definition, and nexus rule; companies serving users across multiple member states file separately under each, creating compliance costs and exploiting definitional gaps to reduce their effective burden. A single EU directive with one consolidated revenue base replaces that patchwork, reducing compliance costs for in-scope companies and eliminating the scope arbitrage that divergent national definitions enable (?).

5.3 Collective leverage

The shift from individual member-state action to a collective EU instrument changes the strategic position of European governments vis-à-vis the United States in a way no single state acting alone can replicate.

France, Italy, and Austria face investigations under Section 301 of the Trade Act of 1974, which threatens retaliatory tariffs on the DST country's goods exports (??). With separate national instruments in force, the United States can exert pressure on countries one after another, by negotiating with each of them in turn. A single EU instrument closes this avenue as the Commission becomes the sole interlocutor acting under the EU's exclusive competence in common commercial policy. It becomes the guarantor of the collective decision to defend or withdraw that no individual member state could override unilaterally.

The 2025 Section 899 episode confirms the leverage differential (?).[5] Section 899's threat alone, before enactment, produced the G7 "shared understanding" of 26 June 2025 and the subsequent OECD side-by-side package. Section 301, relaunched in February 2025 and escalated to a 100% tariff threat in June 2026, has produced no DST withdrawal in Europe. Canada's repeal in June 2025 is the single exception: it was driven by direct bilateral negotiation pressure on a country without the EU's collective trade architecture (?).

6 Feasibility

6.1 Legality

Article 311 TFEU gives the Council the authority to establish new own resources whose proceeds accrue directly to the EU budget. This requires unanimous approval by the Council, followed by ratification by all Member States. The plastics-based own resource, in force since January 2021, was adopted through this route. A second route adds a prior reliance on Article 113 TFEU. Article 113 provides the legal basis for establishing a common tax design administered by national authorities, after which Article 311 provides for the allocation of the proceeds to the EU budget. The adoption of the VAT-based own resource followed this architecture. The combined route provides a more established legal framework for the tax design, but requires an additional unanimous Council decision for the directive alongside the own resources decision, which must be ratified by all member-state parliaments. The Commission's 2018 DST Directive (?) relied on Article 113 alone, with revenues accruing to Member States. The combined route has not yet been tested for a European digital services tax, but appears legally feasible.

[5] Section 899 of the proposed US tax code amendment (included in the House version of the "One Big Beautiful Bill Act", May 2025) would have imposed elevated withholding tax rates on payments to residents of countries with "discriminatory" foreign taxes against US companies, including DSTs. It was removed from the Senate version before enactment but its threat alone produced diplomatic movement.

6.2 Member state support

The 2018 proposal (COM(2018) 148) failed at ECOFIN in March 2019 after reservations from Ireland, Luxembourg, the Netherlands, Denmark, Finland and Sweden, each citing a preference for an OECD solution over a regional instrument. Several governments have explicitly conditioned their national position on the absence of an EU or OECD solution. With Pillar One stalled indefinitely, a collective EU instrument is the next available rung on the same ladder of preference for the broadest multilateral framework. The Netherlands stated in 2023 that "an EU DST should be considered as an alternative to Pillar One, Amount A if a global agreement is not reached". Belgium's coalition agreement of January 2025 commits to a 3 % national DST by 2027 in the absence of EU or OECD consensus (?). Slovakia's ministry of investment, regional development and informatization proposal of August 2025 uses identical framing (?). Germany, the largest potential revenue contributor under any EU instrument, has not opposed an EU-level instrument. France, Italy, Spain, and Austria introduced national DSTs only after EU-level negotiations collapsed in 2019, and in October 2021 all four signed a formal commitment to replace those national instruments with the OECD Pillar One solution once in force (?). Poland introduced a 1.5 % audiovisual digital tax in 2020 (?) and proposed a broader 3 % DST in January 2026 (?). In March 2025, the US Ambassador-designate publicly stated that the proposal was "not very smart" and that "Trump will reciprocate" (?) but Poland's government publicly reaffirmed the plan.

Denmark and Luxembourg have moderated their stance since 2018. Sweden and Finland have not made any clear recent public statements on the issue. Both co-signed the 2018 joint statement with Denmark calling for a global solution; the question is whether they will follow Denmark towards a more open position. Their opposition could may also reflec broader concerns about new EU own resources on grounds of fiscal sovereignty. Sweden's Finance Minister has described the expansion of own resources as completely unacceptable, while Finland's concerns have centred on the implications for competitiveness and the attractiveness of the country to technology investors. Their objection therefore concerns the EU budget architecture rather than the tax design itself, and reflects a broader concern in discussions on the EU budget. This has to be addressed in the broader context of the other options for new own resources, including the possibility of reducing GNI contributions and thereby balancing Member States' contributions across the overall EU budget.

Some Member States may have some concerns regarding the implementation of a user-location nexus established at EU level. By hosting an important share of the profits of multinational companies (?), these countries derive a significant part of their corporate income tax revenues from such activity. Malta's Prime Minister Abela declared before its national Parliament in June 2026 that Malta would block any EU-wide tax as an own resource under any circumstances (?). Ireland has long maintained an unsupportive position, though recent developments show some signs of openness. Taoiseach Martin described an EU digital levy as "challenging" at a joint press conference on 28 July 2026 and called for the EU to "tread carefully." Those concerns should be addressed within the broader MFF negotiation, demonstrating that the burden can be shared fairly among Member States when the full package is considered. It is an opportunity for the EU to reaffirm its support for all countries in adapting towards an economic model that better serves common prosperity.

6.3 Public opinion backing

Public opinion reinforces the procedural mandate. A Flash Eurobarometer conducted across all 27 member states in April 2025 found that 80 per cent of EU respondents agreed that large multinational companies should be required to pay a minimum amount of tax in each country where they operate (44 per cent strongly, 36 per cent somewhat); the range across member states ran from 67 per cent to 87 per cent, with no country below a majority (?). A Kieskompas poll conducted in November 2018, as reported by the S&D Group in the European Parliament, found more than 80 per cent of respondents in France, Germany, the Netherlands, Denmark, Sweden, and Austria in favour of a fair tax on technology companies (?). A more recent EU-wide survey found 39 per cent in favour of an EU-level digital levy, 29 per cent preferring national-level action, 21 per cent with no opinion and 11 per cent opposed to any such measure (?). Taken together, the two surveys show that more than two thirds of respondents supported taxing digital revenues in some form.

6.4 Civil society organisations and trade unions

Civil society organisations have broadly supported the case for taxing digital revenues. The Tax Justice Network (?) has called for stronger taxation of digital revenues, and Oxfam (?) criticised the Commission's 2018 proposal as insufficient in scope. The European Trade Union Confederation endorsed the original 3 % proposal in 2018 as a temporary step in the right direction pending a broader harmonised corporate tax base (?). In April 2026, a coalition of development, humanitarian, and climate organisations backed the European Parliament's call for new own resources to include a digital services levy, framing it as a condition for adequate MFF financing (?). Organised opposition has come from industry associations: the Computer & Communications Industry Association has consistently characterised DSTs as discriminatory gross-revenue levies and estimated that EU member-state DSTs extracted USD 3.6 bn from its members in 2025 (?). Corporate Europe Observatory found that technology companies spent a record EUR 151 million lobbying EU institutions in 2025, a 34 % increase since 2023 (?).

7 Principal objections answered

The US will retaliate.

Section 301 investigations are already active against France, Austria, Italy and Spain; the question is not whether to incur retaliation risk but how to manage it.

A fragmented set of national DSTs is weaker than a collective instrument, where the defence of the measure can be coordinated at EU level. Canada's repeal of its DST in June 2025 under direct bilateral pressure is a clear illustration (?).

The 2021 termination of those actions without a single DST withdrawal (?) showed that the threat carries a political cost for the US as well: imposing 25 % duties on French wine and Italian handbags to discipline a tax on Google is disproportionate, and the Biden administration did not follow through.

In 2025, tensions remain high, but the evolution of the political context complicates the US's ability to follow through on retaliation.First, the Supreme Court struck down the administration's primary broad tariff authority, the International Emergency Economic Powers Act, by 6–3 on 20 February 2026 (?): any tariff imposed on DST grounds must now go through Section 301's formal investigation process, which carries a statutory timeline of up to twelve months, rather than the "immediate" imposition Trump threatened on 26 June 2026 (?). Second, Section 899, the legislative mechanism designed to penalise foreign DSTs by raising withholding taxes on investors from designated jurisdictions, was stripped from the One Big Beautiful Bill Act following a G7 diplomatic exchange on Pillar Two in June 2025 (?); Wall Street lobbied separately against a provision that risked deterring the $19 trillion in foreign holdings underpinning US capital markets (?). The DST grievance that Section 899 was designed to address was not itself resolved by that exchange, but the instrument is gone. Third, the political cost of tariff-driven consumer price increases is becoming increasingly difficult to sustain. Senator Cruz described the tariff burden as "the single biggest determinant" of the Republican party's performance (?).

The instrument will be successfully challenged as discriminatory.

The legal risk is that a tax falling overwhelmingly on US companies could be challenged as discriminatory under the General Agreement on Trade in Services (GATS). Article II requires each WTO member to treat all other members' services and service suppliers equally, while Article XVII requires it to treat foreign suppliers no less favourably than domestic ones. The objection has been anticipated in the design. The EUR 750 million global revenue threshold is a size criterion and not in itself discriminatory: European companies meeting it are in scope on the same terms. Booking.com, Just Eat Takeaway, and Spotify approach or meet that level, making their presence in scope both an inconvenience for some Member States and a legal asset for the instrument.

Taxing rights follow user location, a principle derived from the OECD's own user value creation framework under BEPS Action 1. An instrument taxing revenues generated by serving users in a territory, and applying identically to any company serving those users, is therefore difficult to characterise as a measure directed at foreign companies. No company has overturned this principle before any EU member state court in five years of operation.

DST member states would transfer revenues from their budgets to Brussels.

A Member State operating a national DST would transfer that revenue stream to the EU budget. From a purely budgetary standpoint, the burden on national budgets could be lowered through reductions in GNI contributions during the MFF negotiations. If this reduction were set to compensate exactly for the national revenue loss, the overall EU budget would still see a gain. Furthermore, collective leverage against US threats and greater fiscal uniformisation are additional benefits that could further balance national intesrests.

8 Extensions

The ultimate extension of the European DST would be its eventual phase-out following an international resolution of the under-taxation of digital companies' profits. Possible avenues include the resumption of the Pillar One process and further advances in the UN tax convention process.

Extensions to the levy itself serve a dual purpose: they raise EU revenues, and by demonstrating that the Union can deepen its digital tax architecture without a multilateral agreement, they once again create incentives for trading partners to resume the negotiation process. The three-category instrument represents a conservative starting point.

Two extensions merit consideration once the core instrument is established. **Rate.** At 3%, the three-category base yields approximately EUR 6 bn by 2028. The instruments already in force include rates of 5% (Austria), 6% (France), and 7.5% statutory (Hungary). At 5%, the EU-27 yield scales proportionally to approximately EUR 10 bn; at 6%, matching the current French rate, to approximately EUR 12 bn.

New categories. Thomadakis (**?**) identifies cloud computing services as a fourth major category of digital value extraction, one expected to grow at the highest rate of any digital revenue stream. The present design does not reach cloud infrastructure, software-as-a-service subscriptions, or AI inference APIs sold to EU-based customers. Extending to these services would follow the same EU-user nexus logic as the existing three categories and raise the tax base materially, while requiring careful legislative drafting to prevent double-counting with existing intermediation revenues.

9 A Pigouvian advertising levy

9.1 The external cost of digital advertisements

We saw in Section **??** that pass-through of DST to clients of big digital companies is important. The tax is borne by downstream market participants, final clients and companies paying for ads. Platform profits remain unaffected. This partial failure, however, opens a different reading of the instrument's value. The economic impact falls partly on digital advertising, a sector with documented externalities. This is exactly the economic impact on this sector that makes this instrument valuable.

Criticism of advertising is not new: economists have long argued that competition for consumer attention is a zero-sum game generating socially excessive advertising expenditure (**?**). But as the sector is booming, an entire attention economy has been developed. More and more energy is invested in keeping people captive on platforms and in presenting them with ads skillfully engineered for them. Artificial Intelligence will make this even easier to implement and will amplify such externalities in a hardly predictable manner. We describe three categories of documented externalities, following Acemoglu and Johnson (**?**).

Platforms optimize for engagement through emotionally charged content. Outrage and indignation are the most effective levers to generate strong engagement and condition users to engage in purchases with a higher success rate. This has documented effects, particularly among young people, in terms of mental health, addiction, body image, self-harm, eating disorders, sleep disturbances and bullying. Users bear these harms without viable exit: network effects bind them to platforms where their social life is. Platforms choose network architectures showing content only to users who are predisposed to agree with it. Platform algorithms optimized for engagement tend to amplify polarizing and misleading content within communities of users who share the same biases, with documented effects in terms of radicalization and misinformation (**?**).

Consumers must be profiled so that ads fitting their characteristics can be presented to them. The distribution algorithms are fed by data also obtained by monitoring user behaviour. Advertisers pay for access to users' attention. Users pay with their time, their cognitive engagement, and their data. Acemoglu and Johnson (**?**) argue that the advertising revenue ecosystem incentivizes valuable engineering and artificial intelligence talent to concentrate on surveillance, engagement maximization, and the automation of human interactions. Such human capital could instead contribute more to global well-being if it were directed toward supporting workers and improving productivity.

Digital advertisements also distort market structure. Targeted advertising strongly influences consumers' willingness to pay by leading them to overestimate the quality of a particular product. Even if not all consumers are affected in the same way, the fact that some are weakens price competition: margins and prices for artificially differentiated products rise. Competition between platforms should, in theory, drive prices down and improve user well-being, but this is not the case. Economic actors are not encouraged to improve their products but rather to maintain a high ad load without losing their unsuspecting users to a competitor.

Acemoglu and Johnson propose a rate of 50 per cent to force a structural switch away from advertising-dependent business models entirely. Their argument is not derived from a precise measurement of marginal external cost. Like tobacco excise taxes, the rate is calibrated to change behaviour: the harm is documented and large and the market will not self-correct. A price signal strong enough to alter incentives is the appropriate instrument.

National DSTs already in place at 3 per cent were not designed to internalise negative externalities. On the contrary, little market change was observed. At 15 per cent, the relative attractiveness of subscription-based alternatives shifts enough to matter. We propose to start at 15 per cent to open at a politically tractable entry point with a clear signal that the trajectory is escalating. The rate should rise as the instrument demonstrates its effects, the evidentiary case matures, and the political conditions for a more ambitious target develop. This is more an incentive to build different business models than a revenue instrument. Nonetheless, this section develops that instrument as a standalone EU own resource. The levy presented here is independent of the three-category DST presented above, a separate option for a Union with the ambition to steer its economy toward collective welfare. The advertising revenue base of the Pigouvian levy overlaps with the first category of the DST; the two instruments are best understood as sequential options, and their simultaneous application would bring the combined levy on digital advertising to 18 per cent, a rate close to the Pigouvian-only target.

Structured as a standalone EU own resource, the instrument follows the Article 311 TFEU route set out in Section **??**: unanimous Council approval and ratification by all member-state parliaments. Unanimity takes on a different character in this case, as the main objections are less about structural than about the economic effects and policy rationale of the levy. The instrument does not seek to reallocate taxing rights between Member States, but to correct documented negative externalities associated with the attention-based digital advertising model. This is a common objective that can be pursued collectively at EU level, contributing to the instrument's political feasibility. The experience of the ETS shows that the EU can adopt ambitious Pigouvian instruments if the externality is quantifiable and if the policy is phased in gradually.

9.2 A digital ad tax at 15 %

The EU-27 digital advertising market reached EUR 63.4 bn in 2024, measured by the IAB Europe AdEx Benchmark (**?**). The market is highly concentrated: Google (Search and YouTube), Meta, and Amazon together account for approximately 75 % of revenues. We propose a threshold of EUR 100 M in annual EU advertising revenues, derived from the USD 500 M threshold proposed by Acemoglu and Johnson (**?**), scaled to the EU digital advertising market, which represents roughly one quarter of the United States market by revenue. This excludes the long tail of smaller publishers and ad-tech intermediaries and reduces administrative burden without protecting the platforms whose business models drive the documented harms. A revenue-from-advertising nexus, rather than a global turnover threshold, also makes the instrument harder to characterise as targeting a specific set of US firms: any platform generating EUR 100 M in EU advertising revenues falls within scope regardless of corporate origin.

The pass-through analysis in Section **??** was based on data from the digital advertising sector. For revenue and price estimation, full pass-through is assumed, though the actual incidence may be lower or may involve over-shifting. Under a standard constant-elasticity demand function $Q \propto P^{\varepsilon}$, net tax revenue becomes:

$$T = \tau \cdot B_0 \cdot (1+\tau)^{\varepsilon}$$

where B_0 is the pre-tax advertising base.

There is limited empirical evidence on the elasticity of demand for digital advertising in the literature. In **?**, DST surcharges are studied across 29 EU countries using a Google Ads panel covering 2018–2022. The study finds that platforms passed the tax through to advertisers almost entirely, supporting the full pass-through assumption used in the formula above. Advertiser demand adjusted only marginally, supporting the relatively inelastic end of the elasticity range considered below. In **?**, an elasticity of $\varepsilon = 0$ is assumed for digital advertising at a 3 % rate, based on budget rigidity and the absence of close substitutes. A perfectly inelastic response seems difficult to sustain at a 15 % rate. In the absence of a credible empirical estimate, we consider a range of $\varepsilon \in [-1.5, -0.5]$ to provide a plausible allowance for non-zero elasticity, consistent with the limited response observed at lower tax rates. Table **??** presents the resulting revenue estimates.

		Rate: 15 %		*Rate: 50 %*	
Scenario	ε	Net rev. (EUR bn)	Vol. red. (%)	Net rev. (EUR bn)	Vol. red. (%)
Low response	−0.5	10.3	6.7	29.9	18.4
Central	−1.0	9.5	13.0	24.4	33.3
High response	−1.5	8.9	18.9	20.0	45.6

Table 3: Net revenue and advertising volume reduction at 15 % and 50 % levy rates, EU-27 digital advertising (2028)

The revenue shortfall relative to the static baseline is the mechanism at work, not a cost to minimise: reduced advertising spend means fewer resources devoted to attention maximisation, while EUR 9 to 10 bn in annual revenues at 2028 market size is an appreciable by-product of this correction.

Table **??** distributes the central-scenario yield across EU member states, applying the 85 % in-scope share (platforms above the EUR 100 M threshold) to the 2024 IAB Europe country figures (**?**) projected to 2028 at an 8 % annual CAGR. The tax formula at $\varepsilon = -1.0$ reduces to $\tau/(1+\tau)$ times the in-scope base.

Member state	**Revenues (EUR m)**	**‰ GNI**
Germany	2,700	0.54
France	1,691	0.48
Italy	891	0.36
Spain	830	0.48
Netherlands	652	0.54
Sweden	601	0.83
Poland	427	0.49
Austria	330	0.57
Czech Republic	263	0.72
Denmark	258	0.53

(continued)

Member state	Revenues (EUR m)	‰ GNI
Belgium	184	0.25
Ireland	160	0.33
Finland	133	0.40
Hungary	113	0.50
Portugal	84	0.28
Greece	54	0.20
Slovakia	37	0.26
Luxembourg[a]	32	0.43
Romania	30	0.08
Croatia	26	0.28
Lithuania	24	0.26
Estonia	21	0.44
Latvia	20	0.36
Bulgaria	18	0.15
Cyprus[a]	17	0.45
Slovenia	14	0.17
Malta[a]	10	0.46
EU-27	**9,616**	**0.45**

[a] Cyprus, Luxembourg, and Malta are not covered individually by the IAB Europe AdEx Benchmark. Advertising market size estimated by GDP share relative to the EU-24 IAB aggregate (GNI for Luxembourg, to exclude the cross-border worker distortion on GDP); source: Eurostat `nama_10_gdp`, 2023.

Table 4: Pigouvian advertising levy: per-member-state yield at central scenario, 2028

9.3 International positioning

A Pigouvian advertising levy operates on entirely different legal ground from the OECD framework. It targets externalities generated by the attention-capture business model, not the profit-shifting that Pillar Two addresses; the two instruments are complementary and do not interact. It is an excise on an externality-generating activity, not a digital services tax, and Pillar One repeal commitments do not apply. No multilateral negotiation is required or sought: the externality rationale is self-standing, and the EU is not conditioning the instrument on an international process.

Governments were pressed under Section 301 in 2025 because their instruments fell predominantly on a small set of US-headquartered platforms (?); a Pigouvian advertising tax grounded in documented externalities, with a threshold of EUR 100 M set by market concentration rather than national origin, does not meet that discrimination standard. Section 899 remains a threatened fallback following its removal from the One Big Beautiful Bill Act; a genuine externality rationale makes the instrument harder to classify as an "unfair foreign tax," and the EU's collective legal standing under the Trade Enforcement Regulation raises the cost of any retaliation substantially above what individual member states face (?). A threshold defined by size rather than national origin and a legislative preamble documenting the externality rationale are the design choices that matter for both defences.

The instrument does not require international coordination to operate. Acemoglu and Johnson (?) nonetheless call for G7 harmonisation of such a levy. An EU-level introduction would constitute the European contribution to that process, and evidence that a tax instrument can redirect the digital economy away from attention extraction and toward applications that genuinely serve users.

Many sectors seem to be aware of the problem. On the public side, there is a documented demand for companies to take greater responsibility for algorithms they manage and the harm they cause (??). The academic community has also taken up the issue; leading economists are identifying the problem and proposing converging approaches to address it: Pigouvian taxes (????). On the government side, no Pigouvian advertising tax has yet been adopted at the national level, though the direction is becoming visible: France's Treasury officially quantified the externalities due to the "attention economy" at 2 to 3 GDP points (?), the European Parliament voted 545 to 12 for a regulatory framework targeting engagement algorithms (?), and the State of Illinois enacted in June 2026 the first digital advertising tax with an explicit mental health rationale (?). This could be a first for the EU and could pave the way for international cooperation on the subject (?).

Conclusion

Six years of international efforts have yielded no results on the issue of taxing digital companies multilaterally, leading the landscape of digital services taxes to take shape around national initiatives. This currently results in coverage gaps across the European single market. We propose for the EU to establish a digital services tax on revenues. It is designed to be repealed as soon as international regulations have been adopted and implemented. With its DST, the EU is not simply waiting passively for better legislation; it is calling on other countries to return to the negotiating table regarding an agreement on profit taxes.

We also propose a tax on digital advertising, justified by the sector's negative externalities. The explicit goal is to shift the dynamics of this economic sector towards a direction more conducive to the common good.

The political challenges are real. Unanimity may appear difficult to achieve with diverging structural interests. This is not unique to the instruments proposed here: most options for new EU own resources have supporters and detractors among Member States and no single instrument suits every Member State equally. This diversity of interests calls for dialogue and convergence towards a common project, rather than for any single instrument to be considered in isolation. The MFF negotiations provide a natural forum for weighing the different constraints and interests together across the range of proposals. Considering different options in combination can create the room needed to build a balanced mix of own resources that reflects the interests and concerns of all Member States. The two options presented here feed into this broader discussion.

These proposals go beyond a simple budgetary plan by contributing to European unity, building a global positioning at the international level, and steering the Union's economic policy in a direction that reflects collective priorities. From a budgetary perspective, both of our options will contribute to the repayment of NextGenerationEU: approximately EUR 6 bn for the first, and EUR 9 to 10 bn for the second.

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